

Section 2-129 Participatory Budgeting Program

To further public engagement and democratic involvement in City spending, the City must create by ordinance a Participatory Budgeting Program with an annual or bi-annual participatory budgeting (PB) process open to all residents, consistent with the Oregon Local Budget Law. **Annual funding for the PB Program must be in an amount equivalent to at least 2% of the City's adopted General Fund discretionary ongoing expenses from the previous fiscal year, with the City Council authorized to identify funding sources from the entire City budget to meet that obligation.** Funding allocation decisions made by city residents through the PB process defined in this Section shall be binding on the City. Program funding shall cover staffing and initial and ongoing PB process implementation and evaluation. The PB Program funding shall begin no later than the 2027-2028 fiscal year and the first PB Process shall begin no later than July 2028.

Participatory budgeting (PB) is a deliberative democratic process that allows residents to decide, within certain parameters, how to spend a portion of a public budget. The Participatory Budgeting Program (PB) created by ordinance must include a PB process with the following elements:

1. **Participatory Budgeting Oversight Committee.** A PB Oversight Committee that includes, but is not limited to, residents representing all City Council districts shall be selected by a process determined by the City Council. The PB Oversight Committee shall provide program oversight and inform staff implementation of each stage of the PB process, with an emphasis on making the process cost-effective, transparent and accessible to all City residents. The PB Oversight Committee will not make decisions about how funds allocated through the Participatory Budgeting process are spent.
2. **Idea Collection.** All residents of the City are invited and encouraged to submit project ideas on how to spend available funds through public meetings and other forums that are open and accessible to all residents.
3. **Project Development.** A transparent process wherein City staff and residents, represented by budget delegates, review, assess, and refine project ideas into a limited number of PB qualified projects that can be feasibly implemented by City government. PB qualified projects can be specific to a city council district or apply city wide.
4. **Project Selection.** The PB qualified projects are placed on a ballot and subject to a binding selection process open and accessible to all residents. The project selection process shall be developed and administered by the PB Program. Ballots may include both citywide and city council district-specific projects. This binding selection process is distinct from and not subject to city or state laws governing elections and voting.
5. **Project Implementation.** The winning PB projects are implemented by City government or its agents. To account for unforeseen circumstances, the PB program can include a limited process for potentially amending winning PB projects after the vote, but only to ensure the feasibility and the intent of residents. City staff shall consult the PB Oversight Committee in making any changes to winning PB projects.
6. **Program Evaluation.** The PB Oversight Committee and City staff shall evaluate the PB program and recommend changes in the process to the City Administrator and City Council. Evaluations will aim to improve desired impacts and outcomes and to increase participation of all residents in all phases of the process. In addition, the City Auditor shall periodically conduct an independent performance audit of the Participating Budgeting Program.